

CAPITAL MARKETS

PPR's \$100M BTR Fund Bets on Distress the Housing Bill Created

The fund targets developers whose take-out financing vanished during the policy freeze, buying at a basis that reflects risk.

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A source-grounded Light Tower Insight.

A credit committee reviewing PPR Capital Management's new \$100 million build-to-rent fund would start with one question: Is this a bet on policy or a bet on distress?

The answer determines the underwriting. PPR's Keystone Housing Growth Fund is raising capital from accredited individuals to buy BTR communities from developers who built them but can no longer sell them at the price they expected. The 21st Century Road to Housing Act, signed into law Saturday without President Trump's signature, ultimately allowed these bulk sales. But the months of debate froze the market first.

PPR is not buying the policy tailwind. It is buying the dislocation the policy uncertainty created.

Chief Asset Officer Craig Johnsen told Bisnow that builders' original take-out financing is gone. Developers who could not hit rent projections are cutting losses. The first deal, the \$87 million purchase of Highline at Knoxville in March 2025, was a phase-one complete, phase-two underway project where the seller could see the economics deteriorating.

That is the anchor. A developer with a partially built asset, a take-out that evaporated, and a decision to sell before the hole gets deeper. PPR stepped in with equity capital, no construction risk, and a basis that reflects the seller's need for liquidity.

The fund's \$100 million target, deployed across six to eight deals of 150 to 250 units each, implies an average equity check of roughly \$12.5 million to \$16.7 million per transaction. At typical BTR leverage of 60 to 70 percent loan-to-cost, that equity would support \$30 million to \$55 million in total capitalization per deal. The fund is not buying at peak pricing. It is buying where the capital stack broke.

The mechanism is straightforward but worth naming. BTR developers typically finance construction with short-term debt, then sell to a permanent capital source upon stabilization. The Road to Housing debate created a regulatory cliff: buyers could not underwrite the exit because they did not know whether bulk sales would be allowed. Lenders stopped committing.

Developers who had already started construction faced a maturing loan and no buyer. The only option was to sell at a discount to someone who could hold through the uncertainty.

PPR is that someone. The firm has \$1.5 billion in assets under management and a history of buying nonperforming loans and residential mortgages. It began acquiring multifamily in 2022 and entered BTR last year. This is not a greenfield developer. It is a distressed asset buyer applying a familiar playbook to a new product type.

The cast has three distinct risk positions. The developer needs an exit before the construction loan matures or the rent shortfall becomes a default. PPR needs a basis low enough to generate a return for its accredited investors, who are writing \$50,000 minimum checks. The lender on the original construction loan needs to get repaid, likely at a discount, or face a workout. Each party's clock is different. The developer's is shortest.

Johnsen named 10 target markets: Dallas, Salt Lake City, Nashville, Charlotte, Philadelphia, Chicago, Raleigh, Denver, West Palm Beach, and Richmond. These are not distressed markets broadly. They are markets where overbuilding made rent projections unachievable for some projects, and where the policy freeze compounded the problem. The fund is not buying the best BTR assets in those metros. It is buying the ones that need a new capital partner.

The claim here is bounded. PPR's fund is not a signal that BTR is back. It is a signal that the distress created by the policy vacuum is now tradeable. The National Association of Home Builders estimated 68,000 BTR units started construction last year, down from 84,000 in 2024. That decline reflects developer caution, not demand destruction. The units that did start are the ones that now need a buyer.

What should a market participant test next? For lenders with BTR construction exposure in the 10 target markets, the question is whether their borrower has a credible take-out or is waiting for a PPR-style buyer to appear. For developers considering new BTR starts, the question is whether the policy clarity is enough to restore the permanent capital bid, or whether the bid will remain selective and priced for risk. For equity investors evaluating similar funds, the question

is whether the distress is deep enough to generate the returns that justify the illiquidity. _____

The fund is not anticyclical. It is countercyclical in a narrow window. PPR is buying when the seller has no other option, the policy risk has just been resolved, and the capital that would normally compete for these assets has not yet returned. That is a classic distressed opportunity. It is also a timing-dependent one.

The housing bill removed the regulatory uncertainty. It did not remove the rent shortfall, the construction loan maturity, or the developer's need to sell. PPR's fund is a bet that those pressures will persist longer than the policy relief takes to revive the bid. That is a defensible thesis. It is also one that requires disciplined underwriting, patient capital, and a clear exit plan.

The market will learn whether the distress was a policy artifact or a structural overhang. PPR is betting on the former. The next 12 months will reveal whether it was right.